Airfares in the United States are so low it's hardly necessary to budget them separately. As of this writing one can fly coast to coast for $99 and to Europe for $149. But you may want to budget separately for an expensive hobby. If you retire to the coast of Maine, for example, you may want to set up a separate budget for a boat. A camera buff might want a separate budget for equipment, film, and development.

The rule is:

Spend more than $50 a day if you must

Especially if you have $500,000 of net worth, with high real rates you can safely spend more than $18,000 a year and still keep capital intact. But follow this rule with caution. You don't want to get so carried away with special expenses that you lose sight of the $50-a-Day Rule.

Throughout this book I've referred to $50 a day without adjusting for inflation. I've done that to keep things simple, even though I recognize that, over time, the $50 a day will creep up a little. But since you keep your capital growing with inflation, you'll be able to afford the increase. And in the several years since we've been retired, Vicki and I have found we spend less each year. That's because our infrastructure costs continue to fall as we get more set in our retirement pace. We tend to walk rather than bother with taxis. We seldom feel like eating in expensive restaurants. When we do, we're likely to do it in cheaper cities: Buenos Aires rather than New York, Madrid rather than Vienna. And as we'll see right now, when we travel we're more savvy about finding cheaper airfares, hotels, and things to do.

HOTELS: DON'T PAY FOR AN ELEVATOR

If you're like most young retirees, travel will be a big part of retired life. You'll do it at a more leisurely pace. Instead of racing through Europe in twenty days you'll spend a week or